

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics
& Monetary Premium

SUPPLY 121.6M ETH

GAS 0.1 GWEI

ETH \$2,243

Only 1% of new issuance offset by burns — ETH supply growing at +0.83%/yr

7-Day Supply Change Snapshot

Current Supply: 121,603,980 ETH



Offset Ratio (Burn / Issuance)

0.01x

Annualized Supply Growth

+0.83% /year

7d Issuance

19,638

7d Burn

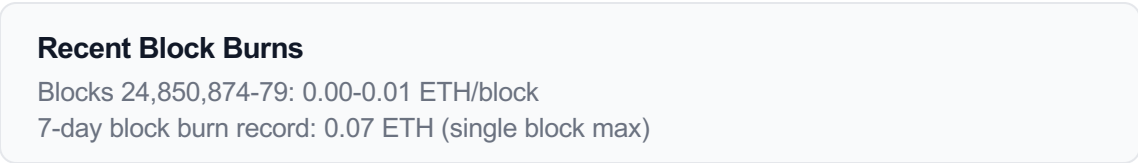
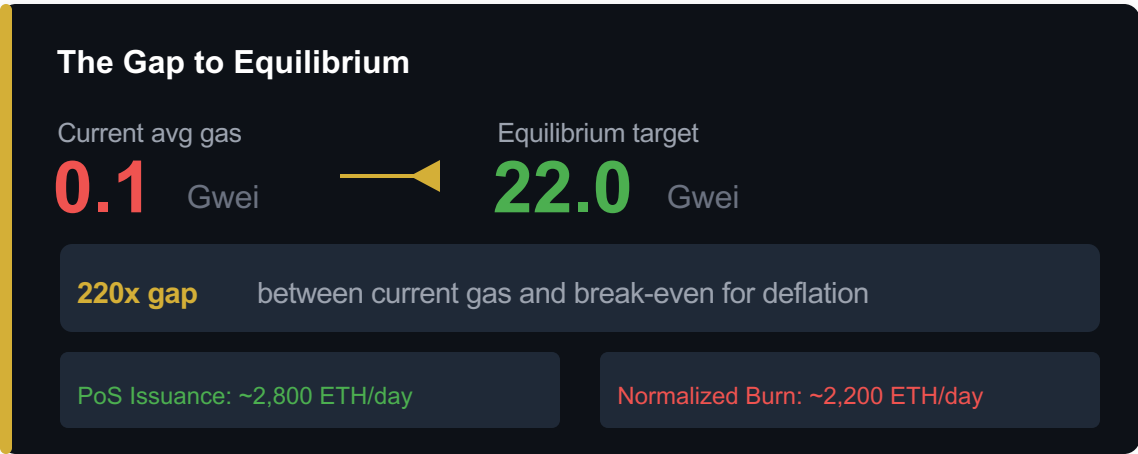
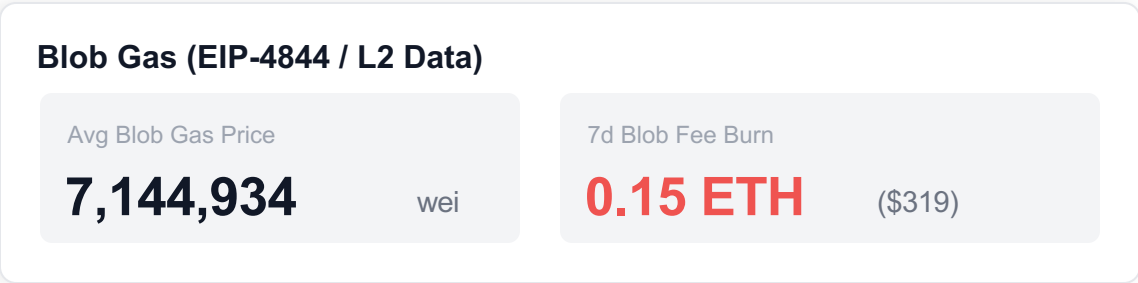
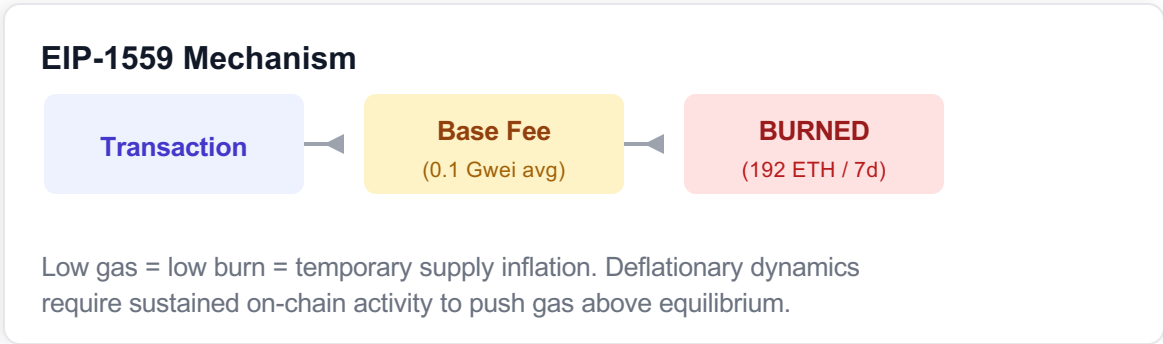
192

Key Insight

Burns offset only ~1% of new issuance.
Deflationary dynamics require higher gas activity.

Base gas at historic 0.1 Gwei average — 220x below the 22 Gwei equilibrium assumption

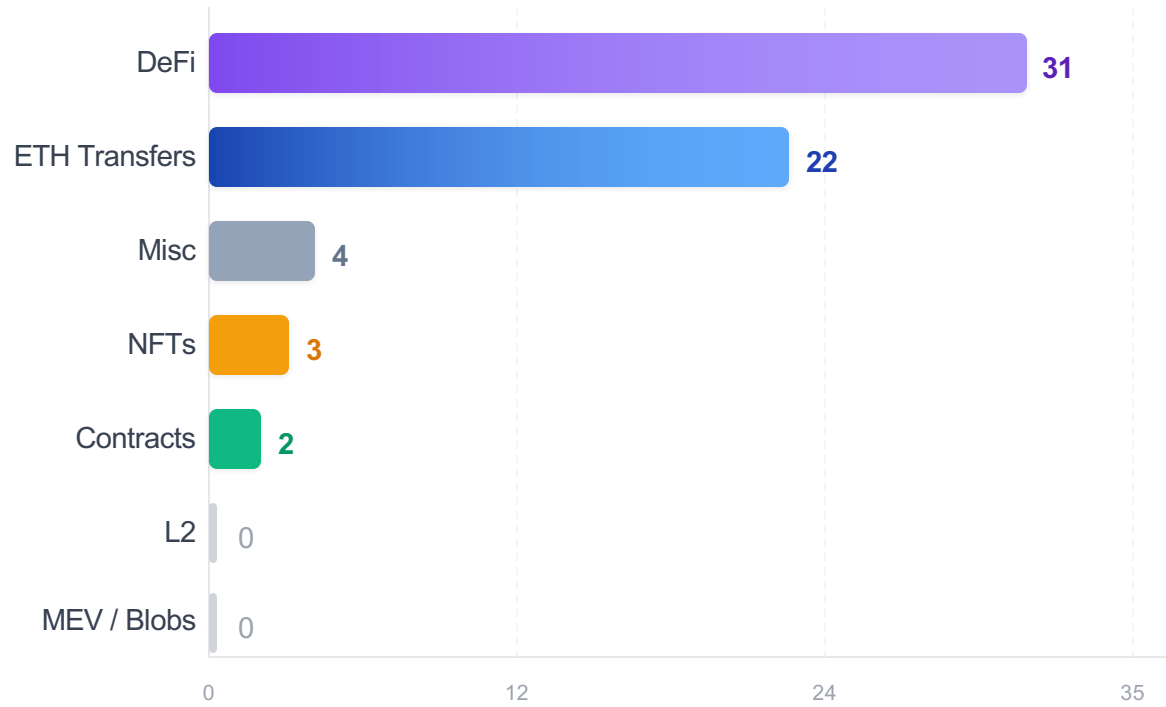
Gas Market & EIP-1559 Burn Mechanics



DeFi and ETH transfers drive 85% of weekly burn — but absolute volumes remain negligible

Burn Categories & Leaderboard (7-Day)

Burn by Category (ETH)



Total 7-day burn: ~192 ETH | DeFi + ETH Transfers = 53 ETH (85% of total burn by category)

Top Burners (7-Day)

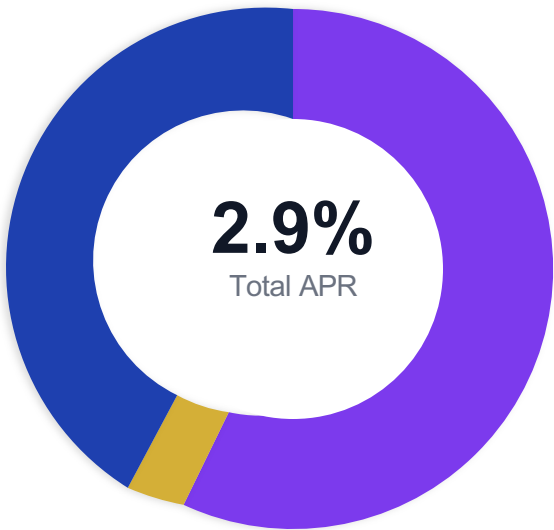
#	Contract / Category	ETH Burned	Category
1	ETH Transfers	21.74	Transfer
2	Tether (USDT)	13.55	DeFi
3	DeFi Contracts	17.45	DeFi
4	Miscellaneous	4.00	Misc
5	NFT Activity	3.00	NFTs
6	Contract Creations	2.00	Deploy
7	L2 / MEV / Blob Fees	~0	Various
TOTAL		~192 ETH	

7d block burn record: 0.07 ETH (single block)
Typical block burn: 0.00-0.01 ETH

38.9M ETH staked (32% of supply) at 2.7% APR — tips and MEV contribute near zero

Staking & Validator Economics

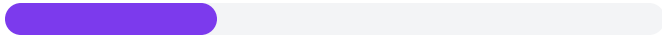
Validator Reward Composition



- Issuance: 2.7% APR (0.9 ETH/validator)
- Tips: 0.1% APR (0.0 ETH)
- MEV: 0.1% APR (0.0 ETH)

Total ETH Staked

38.9M ETH



32% of total supply
PoS Issuance: ~2,800 ETH/day

Scarcity Engine
9.1M ETH locked

Average lock period:
10.7 years

Daily Economics

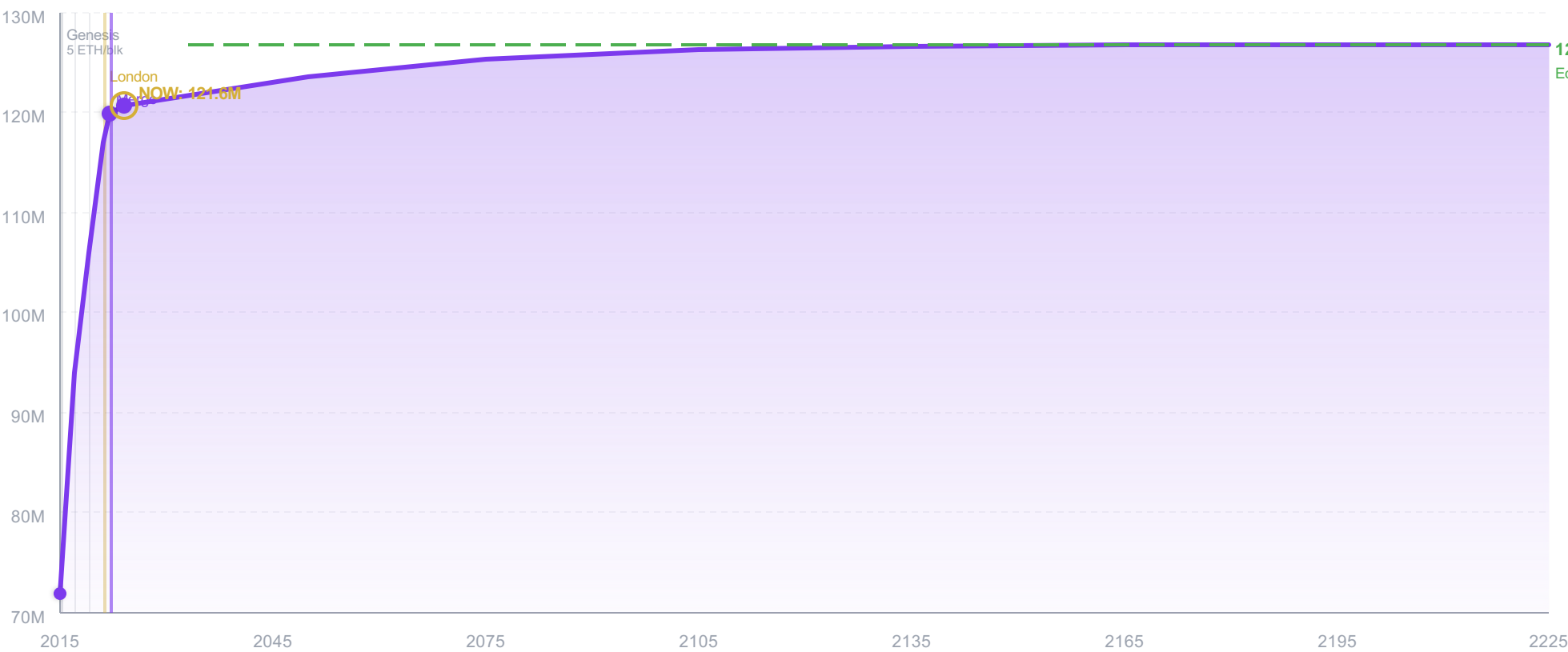
PoS Issuance
~2,800 ETH/day

Normalized Burn
~2,200 ETH/day

Supply Lock Impact

With 32% of supply staked and 9.1M ETH locked for avg 10.7 years, effective circulating supply is significantly reduced — amplifying the impact of any future burn recovery.

Long-Term Supply Projections



Model Parameters

ETH Staked

39M

Avg Base Gas

22 Gwei

Equilibrium Supply

125.7M

Issuance = Burn

1,037K/yr

Staker Reward

2.7%/yr

Non-Staker Burn

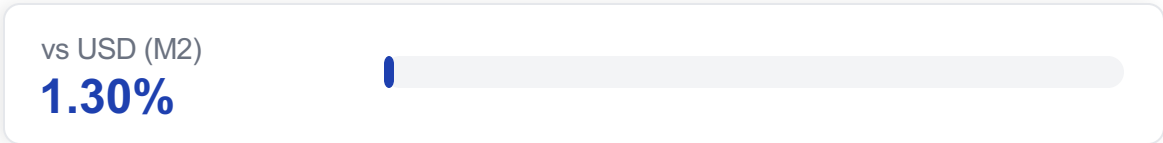
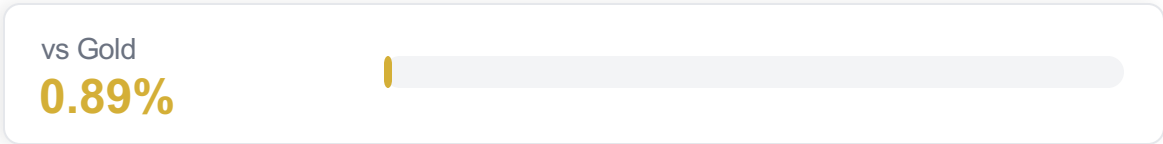
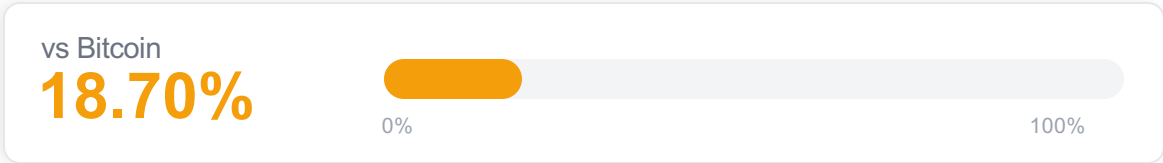
1.2%/yr

Supply growth has flattened dramatically post-merge. The path to equilibrium depends on sustained on-chain activity.

ETH secures \$307B+ in total value — 18.7% of Bitcoin's market cap and growing

Flipping Progress & Total Value Secured

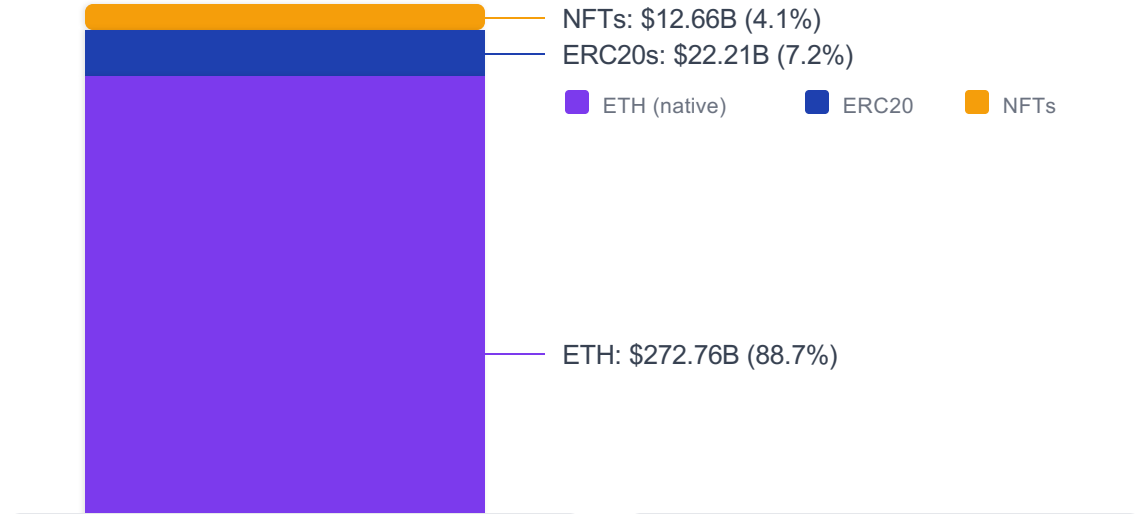
ETH Market Cap vs Competing Assets



6,000+ community members ("fam") tracking these metrics in real time

Total Value Secured (TVS)

\$307.6B



Top ERC20s by Value	
Dai (DAI)	\$4.41B
Shiba Inu (SHIB)	\$3.51B
Cronos (CRO)	\$2.97B
Tether Gold (XAUT)	\$2.65B

Top NFT Collections	
CryptoPunks	\$2.13B
BAYC	\$0.68B
ENS	\$0.63B
Pudgy Penguins	\$0.51B

Key Takeaways

1 Currently Mildly Inflationary

ETH supply growing at +0.83%/yr due to historically low gas fees (avg 0.1 Gwei). Burns offset only ~1% of issuance.

2 Burn Mechanism Works — Needs Activity

EIP-1559 burn is functional but requires sustained on-chain activity to push gas toward the 22 Gwei equilibrium target.

3 Massive Supply Lock via Staking

38.9M ETH (32% of supply) staked. 9.1M ETH locked for an average of 10.7 years — significantly reducing effective float.

4 Structurally Sound Long-Term Equilibrium

200-year model converges to 125.7M ETH at equilibrium. Issuance and burn balance at ~1,037K ETH/year at 22 Gwei.

5 Growing Monetary Premium — \$307B+ TVS, 18.7% of BTC Market Cap

Ethereum secures over \$307B in total value (ETH \$272.76B + ERC20s \$22.21B + NFTs \$12.66B). Market cap at 18.7% of Bitcoin and 0.89% of gold demonstrates early but growing monetary premium.

The ultra sound money thesis is structurally intact.

Gas activity recovery is the critical catalyst — when it returns, ETH's deflationary mechanics will re-engage.